

SHORT TERM EQUITY V/S LONG TERM EQUITY

Direct equity can be bought for a day, 10 days, 3 months, 5 years, or whatever the time horizon maybe. So, when investing in direct equity, the time horizon is not pre-decided and can vary. Based on the time horizon, the process of research changes and so does our expectation of return.

SHORT TERM EQUITY

Short term equity activities are called stock trading and include intraday (same-day trade), buy today and sell tomorrow, etc.



NOT PREFERABLE

LONG TERM EQUITY

Long term equity activities are what we call investment activities. Here, we are mainly talking from a perspective of investing for a time horizon of at least 3 years



PREFERABLE



We do not count stock trading to be a part of the Personal Finance Plan. Stocks have spoilt their reputation as an asset class because of the losses that general people have made trading the stocks. It is advised to stay away from trading unless and until someone is a professional trader. We will focus on the long term behaviour of stocks in this entire section.